

AKW 104

Assignment: Financial Ratio Analysis

Group: We Are The Empires (Group 23)
Lecturer: Dr. Haslindar Ibrahim

Company:

- 1) QL Resources Bhd.**
- 2) United Plantations Bhd.**

Table of Contents

Results of Trend Analysis

Financial ratios trend analysis.

Conclusion of Trend Analysis

The company that is the stronger candidate financially based on the results of the financial ratio trend analysis.

Investment Decision

Other aspects to consider in making the investment decision.

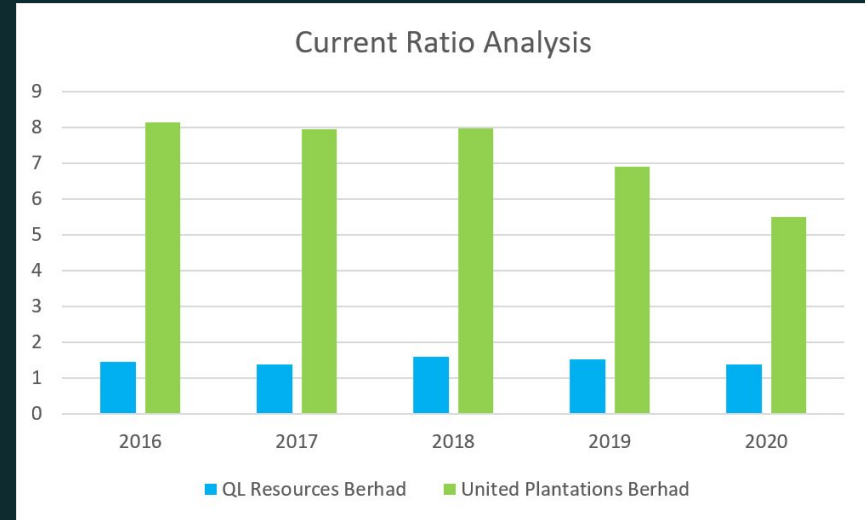
Recommendation & Company's Future Outlook

Company recommendation and its future outlook with regards to the present development in 2021.

Results of Trend Analysis

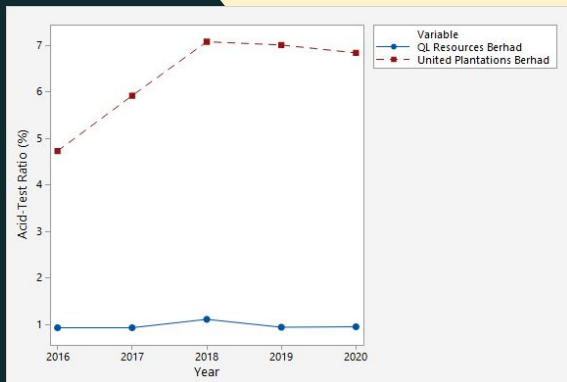
Current Ratio

- The higher the current ratio, the more capable a company is of paying its obligations because it has a larger proportion of short-term asset value relative to the value of its short-term liabilities.
- A ratio under 1.0 indicates that the company's debts due in a year or less are greater than its assets.
- Based on the bar graph, both the companies have the current ratio greater than 1.0.
- United Plantations Berhad has a higher current ratio compared to QL Resources Berhad
- Thus, QL Resources Berhad has the financial resources to remain solvent in the short term.

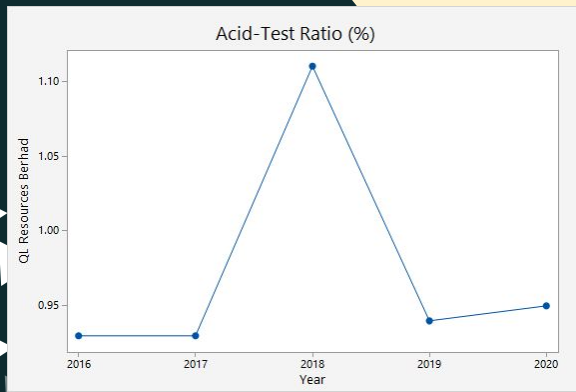
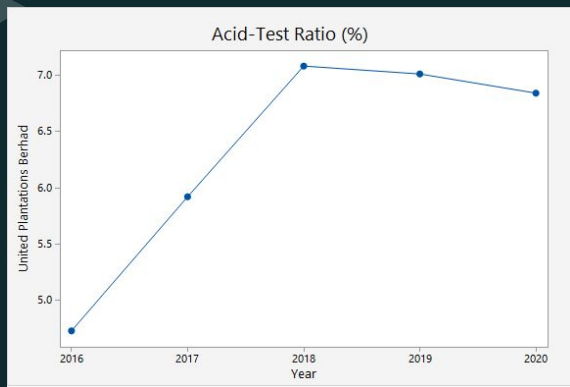


$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liability}}$$

Acid-Test (Quick) Ratio

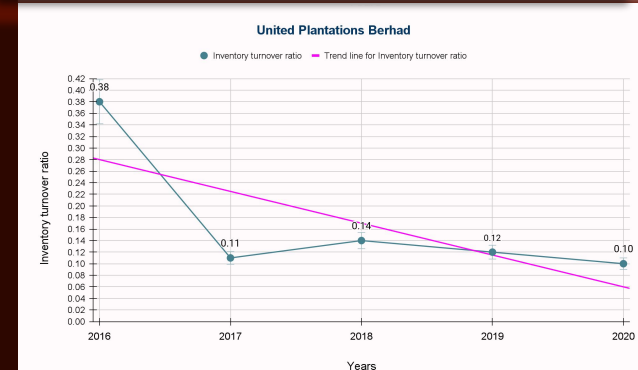
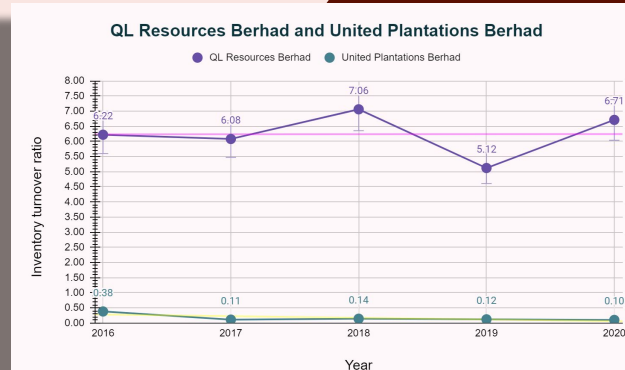
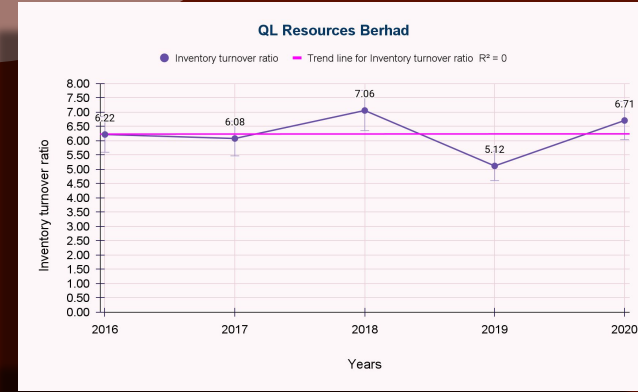


- The **acid-test ratio** is a type of liquidity ratio which measures whether a company has sufficient quick assets to cover current liabilities immediately.
- Firms with higher acid-test ratio are regarded to be more financially stable. Ideally, a business should have a quick ratio of 1 or higher.
- The quick ratio for QL Resources Bhd. was the highest in 2018 at 1.11. Meanwhile, the quick ratio for United Plantations Bhd. increased steadily from 2016 to 2018 but decreased slightly from 2018 to 2020.
- Overall, United Plantations Bhd has a higher quick ratio than QL Resources Bhd. This indicates that United Plantations Bhd. is more financially stable.



Inventory turnover

- QL Resources Berhad have higher Inventory Turnover than United Plantations Berhad
- This company has used up its inventories with an average of 6.24.
- It has an increasing trend at 2017 but decreasing at 2018.
- However, the Inventory turnover ratio experienced an increase in the following year which is 2020.
- Inventory turnover ratio of United Plantation Berhad has decreasing trend at 2016 but had slightly increasing trend at 2017.
- Then it shows a slowly decreasing trend in the following years 2018, 2019 and 2020.
- Therefore, QL Resources Berhad are able to sell their inventories at faster pace compared to United Plantations Berhad.



Account Receivable (AR) Turnover

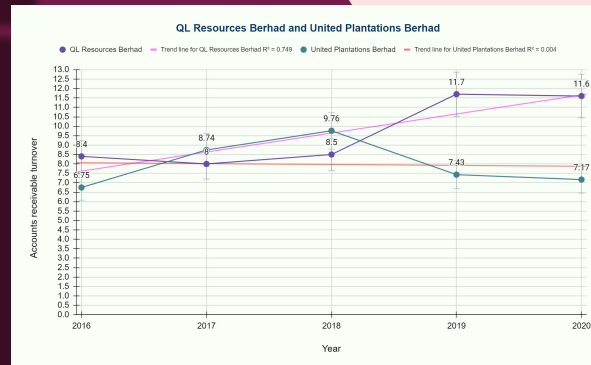
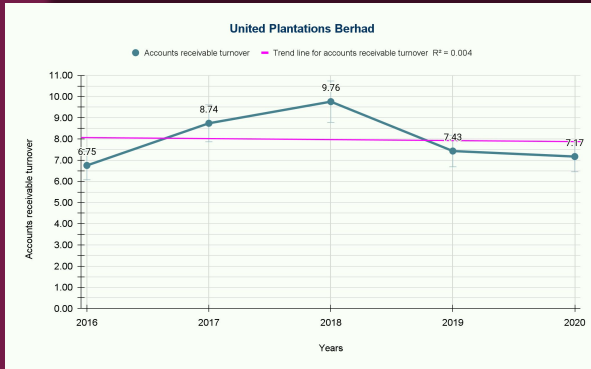
→ QL Resources Berhad has an increasing trend of AR Turnover starting from the year 2017 up until 2019.

→ But in the year 2020 QL Resources Berhad experienced a slight decrease in the AR Turnover.

→ Meanwhile, United Plantations Berhad has experienced a rapid growth in the AR Turnover from the 2016 to 2018.

→ This is how the United Plantations Berhad company was able to collect cash from its credit customers in a short time period.

→ Then, from the year 2019 - 2020 the company started experiencing a decreasing trend in the AR Turnover.

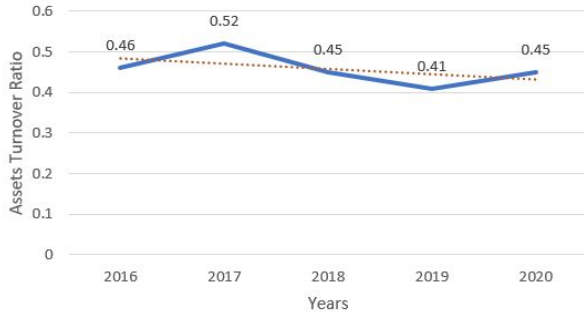


→ Both companies show a slightly decreasing trend of AR Turnover in the year 2020.

→ Overall, QL Resources Berhad has an average AR Turnover of 9.6 while, United Plantations Berhad has an average of 7.97 throughout the five years

Assets Turnover

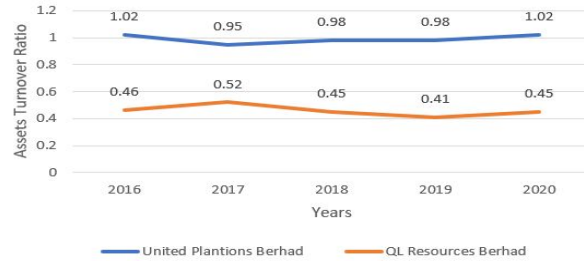
United Plantations Berhad



QL Resources Berhad



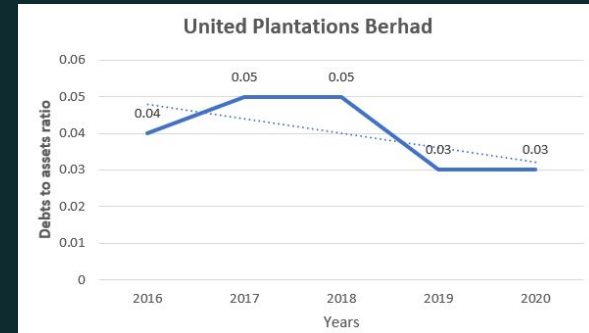
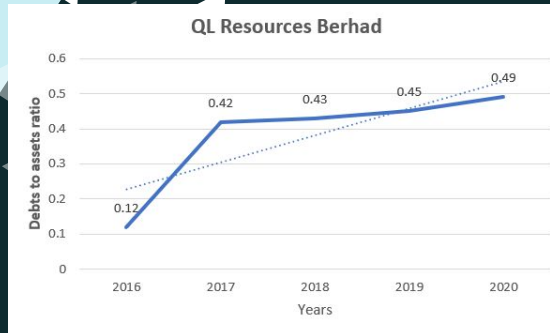
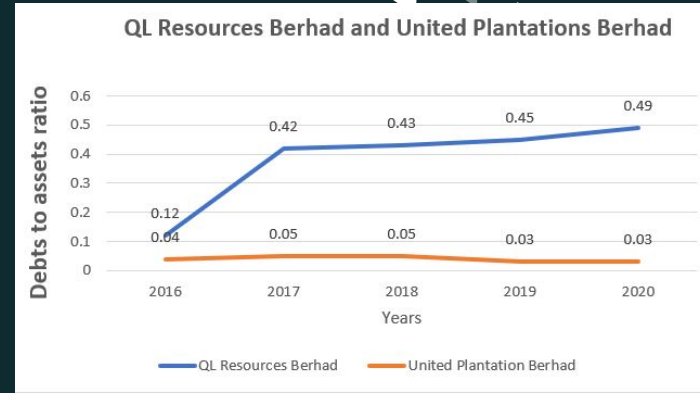
QL Resource Berhad and United Plantations Berhad



- QL Resources Berhad has an increasing trend of assets turnover starting from the year 2016 up until 2020.
- But in the year 2016 QL Resources Berhad experienced a slight decrease in the assets turnover.
- United Plantation Berhad has decreasing trend of assets turnover starting from the year 2016 up until 2020.
- But in the year 2016 United Plantation Berhad experienced a slight increase in the Assets Turnover.
- Both company has increased their assets turnover ratio from 2019 to 2020.
- Therefore, we can see the efficiency of QL Resource Berhad deploying its assets to produce the revenue is greater than United Plantation Berhad from these graph.

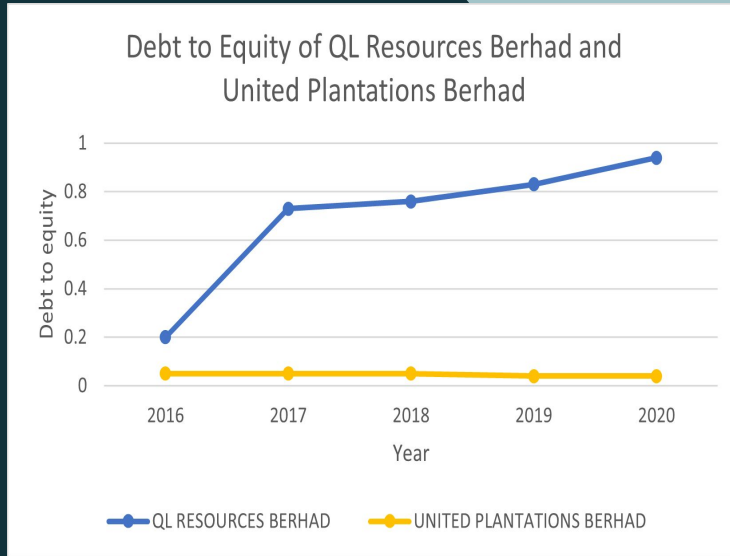
Debts to assets

- QL Resources Berhad has an increasing trend of debts to assets ratio starting from the year 2016 up until 2020.
- In the year 2016 QL Resources Berhad experienced a highly increases in the debts to assets ratio.
- United Plantation Berhad has decreasing trend of debts to assets ratio starting from the year 2016 up until 2020.
- In the year 2017 to 2018 and 2019 to 2020 United Plantation Berhad remain unchanged which in 0.05 and 0.03 in the debts to assets ratio.
- QL Resources Berhad has increased their debts to assets ratio but United Plantation Berhad has decreasing trend of debts to assets ratio from 2016 to 2020.
- Therefore, we can see the financially stable of United Plantation Berhad is better than QL Resource Berhad because it maintain well In from 2017 to 2020 compare to QL Resources Berhad..



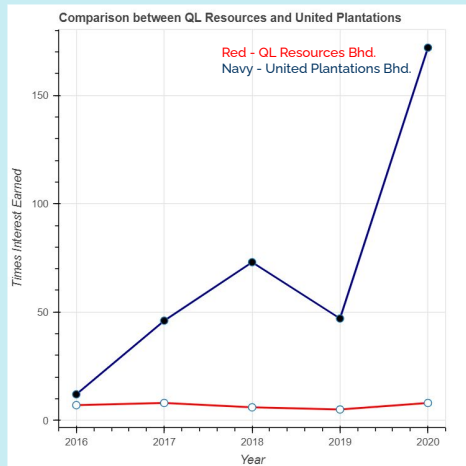
DEBT TO EQUITY

- Shows the percentage of company financing that comes from creditors and investors.
- It is a financial, liquidity ratio that compares a company's total debt to total equity.
- Higher debt to equity ratio indicates that more creditor financing (bank loans) is used than investor financing (shareholders)
- Debt of equity ratio lower than 1.0 is considered good but if it is more than 2.0 or negative value, it is considered risky.
- From the graph, it can be seen that QL Resources Berhad has higher debt to equity than United Plantations Berhad.

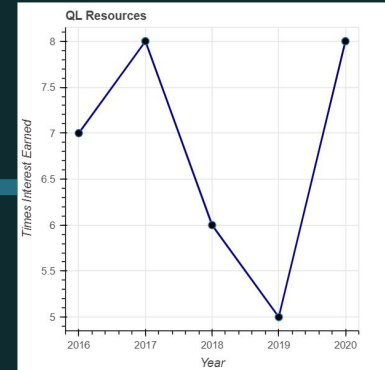


TIMES INTEREST EARNED

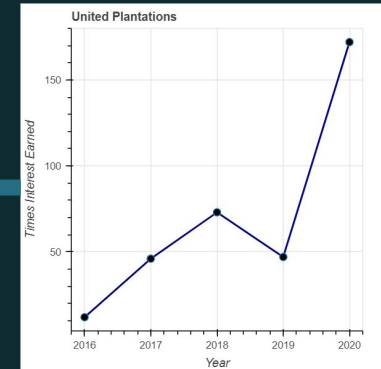
- An indication of the ability of a company to pay interest on its borrowings.
- Compares its Net operating income or EBIT (Earnings before interest and taxes) to Interest expense.
- The higher the times interest earned ratio, the more capable the company is at paying off its interest expense on time.



QL RESOURCES BHD.

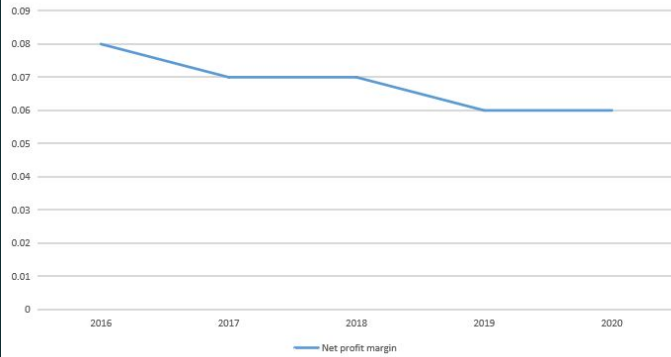


UNITED PLANTATIONS BHD.



Net profit margin

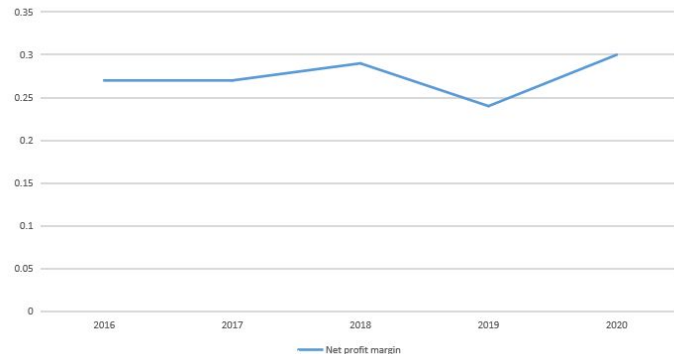
QL Resources Berhad



● The net profit margin, or simply net margin, measures how much net income or profit is generated as percentage of revenue.

● The increase in net profit growth rate year by year indicates that the company or enterprise has a good development prospect, fast income growth and outstanding business performance.

United Plantations Berhad





Return on equity

Conclusion of Trend Analysis

1. UP Plantations Bhd has a higher quick ratio than QL Resources Bhd. This indicates that UP Plantations Bhd. is more financially stable.
2. QL Resources Berhad have higher Inventory Turnover than United Plantations Berhad. QL Resources Berhad are able to sell their inventories at faster pace compared to United Plantations Berhad.
3. QL Resources Berhad has an average AR Turnover of 9.6 while, United Plantations Berhad has an average of 7.97 throughout the five years
4. Both company has increased their assets turnover ratio from 2019 to 2020. We can see the efficiency of QL Resource Berhad deploying its assets to produce the revenue is greater than United Plantation Berhad .

Conclusion of Trend Analysis

5. We can see the financial stability of United Plantation Berhad is better than QL Resource Berhad because it maintains well from 2017 to 2020 compared to QL Resources Berhad..
6. Debt to equity ratio lower than 1.0 is considered good but if it is more than 2.0 or negative value, it is considered risky.
7. From the graph, it can be seen that QL Resources Berhad has higher debt to equity than United Plantations Berhad.
8. The increase in net profit growth rate year by year indicates that the company or enterprise has a good development prospect, fast income growth and outstanding business performance.

Making the Investment Decision

Liquidity Ratio:

Current Ratio

	QL Resources Berhad	United Plantations Berhad
2016	1.45	8.14
2017	1.39	7.96
2018	1.59	7.98
2019	1.52	6.90
2020	1.39	5.49



Higher ratio – Less risk - Better

QL Resources Berhad
is better than United Plantations Berhad

Profitability Ratio:

Net profit margin

	QL Resources Berhad	United Plantations Berhad
2016	0.08%	0.27%
2017	0.07%	0.27%
2018	0.07%	0.29%
2019	0.06%	0.24%
2020	0.06%	0.30%



Higher - Better

United Plantations Berhad
is better than QL Resources Berhad

Leverage Ratio:

Debt-to-equity ratio

	QL Resources Berhad	United Plantations Berhad
2016	0.20	0.05
2017	0.73	0.05
2018	0.76	0.05
2019	0.83	0.04
2020	0.94	0.04



Lower ratio - Better

United Plantations Berhad
is better than QL Resources Berhad

Recommendation & Company's Future Outlook

Company Chosen:

United Plantations
Berhad

Why?

1. HIGH LIQUIDITY
 - Able to meet current obligations to cover immediate liabilities .
 - Can convert stocks into cash quickly
 - Better company performance.
2. HIGH SOLVENCY
 - Low debit ratio
 - Able to meet it's debt obligations on an ongoing basis
 - Lower risk of bankruptcy
 - Less risk to investors
3. HIGH PROFITABILITY
 - High earning per share
 - Better on stocks' future price performance
 - Capable of generating a significant dividend for investors



Why?

4. HIGH RETURN ON ASSETS RATIO

- Efficient is squeezing profit from it's assets
- Indication on the ability to continue earn increasing profit on each Ringgit of investment .
- Effective in converting the money invested into net income.

5. HIGH COMPANY'S PERFORMANCE

- Expected to grow at a fast pace.
- Company's product image is high.
- Capable to performed better than it's peers.
- Lower risk to investors.



A group of four business professionals are seated around a light-colored wooden conference table in a modern office setting. On the left, a woman with long brown hair, wearing a light green top, is seen from the side, looking towards the center. In the middle background, a man with short dark hair and a beard, wearing an orange sweater, looks directly at the camera. To his right, another man with dark hair, wearing a dark blazer over a white shirt, also looks towards the camera. On the right side of the frame, a woman with blonde hair and glasses, wearing a grey blazer, is seen from the side, looking towards the center. The table is equipped with a laptop, a smartphone, a glass of water, and several documents, including one with a blue bar chart. Large windows with vertical blinds are visible in the background, letting in bright natural light.

Company's Future Outlook



United Plantations Berhad

- ❑ Providing smarter solutions For a Healthier Life
- ❑ Leading Healthcare Group Providing Quality and innovative Solutions

The End
Thank you